Investment Products

CHAPTER 9: Equity Securities: Equity Transactions



Chapter Highlights

- There are a variety of ways in which you can buy and sell equities.
- You can buy the security outright through a cash account or go long or short through a margin account.
- There are also many types of orders to consider when buying and selling securities.

Speculative Trading Practices

Buying on Margin ⇒ Long

Predicting prices will rise

Short Selling on Margin ⇒ Short

Predicting prices will fall

Advantages & disadvantages of each?

Which position is riskier? Why?

Margin Example – Long Position

An investor believes that a stock will increase from $25 to $30. The investor has $2,500 to invest.

Cash Account

The investor purchases 100 shares at $25 per share and the stock moves as predicted. The investor's rate of return would be:

$$\text{Return} = \frac{\$3,000 - \$2,500}{\$2,500} = 20\%$$

Margin Example – Long Position

Margin Account – Advantage of Leverage

The investor opens a margin account and purchases 200 shares. The broker puts up $2,500 and the investor puts up the other $2,500.

The share price rises to $30 per share.
The investor's rate of return would be:

$$\text{Return} = \frac{\$6,000 - \$5,000}{\$2,500} = 40\%$$

Long Margin – *for information purposes only*

On Listed Equities Selling: Values:	**Maximum Loan**
Securities Eligible for Reduced Margin	70% of market
at $2.00 and over	50% of market value
at $1.75 to $1.99	40% of market
at $1.50 to $1.74	20% of market
under $1.50	No loan value

Short Sales – Minimum Credit Balance – *for information purposes only*

On Listed Equities Selling:	**Minimum Credit Balance in the Account:**
Securities Eligible for Reduced Margin	130% of market
at $2.00 and over	150% of market
at $1.50 to $1.99	$3.00 per share
at $0.25 to $1.49	200% of market
under $0.25	100% of market plus $0.25 per share

Types of Orders

- **Market Order (“At Market”)**
- **Limit Order**
- **Day Order**
- **GTC**
- **AON**
- **Any Part**
- **Stop loss/buy**
- **Pro / N-C**

Types of Orders

Market Order (“At Market”)

An order to buy or sell a specific number of securities at the prevailing market price.

Limit Order

An order to buy or sell at a specific price or better.

Day Order

An order to buy or sell that is valid only for the day it is given. All orders are considered day orders unless otherwise stated.

Types of Orders

Good Till Cancelled (GTC) Order

An order that remains outstanding until executed or cancelled.

All or None Order

An order whereby the broker must execute the total number of securities specified before the client will accept a fill.

Any Part Order

An order in which the client will accept all stock in odd lots or standard trading units up to the full amount of his order.

Types of Orders

Stop Loss

- An order to sell that becomes effective when the price of one standard trading unit declines to or falls below a specified level.
- Becomes a market order when the stop price is reached.

Stop Buy Order

- An order to protect a short sale. It instructs the broker to purchase shares when they reach a specified price.

Types of Orders

The Pro or N-C Order

Orders from non-clients (partners, directors, IAs etc.) are stamped “Pro” (Professional) N-C (Non-Client) or EMP (employee), to deal with the preferential trading rule.

The Preferential Trading Rule

A trading regulation that means that the client’s order always has priority over a member’s order if both orders compete at the same price for the same security.